CAPSTONE BUSINESS INTELLIGENCE PROJECT · RETAIL OPERATIONS

Superstore Sales: Is Growth Sustainable?

Forensic analysis of $2.26M in revenue across 4,922 orders, 793 customers and 4 US regions (2015–2018)

[Aya Gamal, Alaa Hussien, Andrew hany, Mohamed Khalil, Mariam Elhusseny , Ahmed Bedir]

SCOPE & FOUR-YEAR BASELINE

A $2.26M business that closed 2018 at $722K, up 20.3%, on paper

Total sales	Distinct orders	Unique accounts	Avg order value
$2.26M	4,922	793	$459

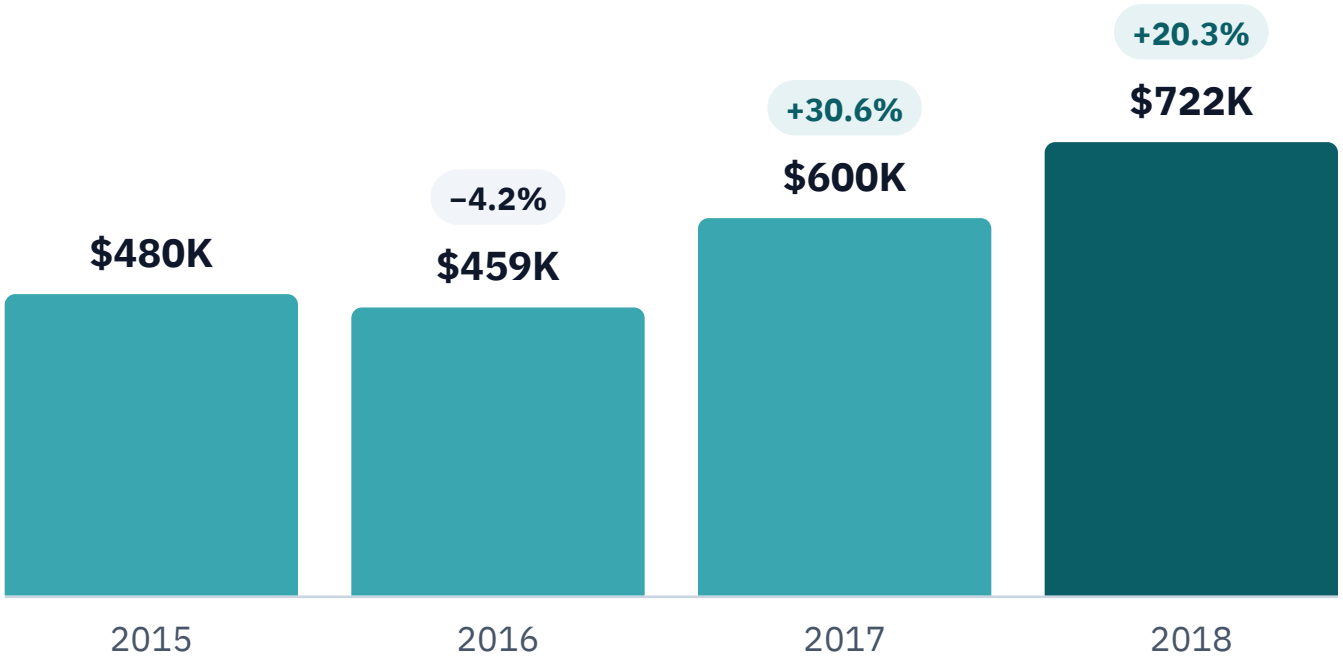
Headline growth: $722K in 2018, +20.3% vs 2017 / expansion looks robust

Data scope: 9,799 order lines, 4 regions, 2015–2018 / volume and customer behaviour

Out of scope: no cost, profit, margin or discount fields / revenue lens only

ANNUAL TRAJECTORY

Growth was volatile, not smooth, and momentum slowed from +31% to +20%



A down year first: 2016 fell 4.2% to $459K / growth was never guaranteed

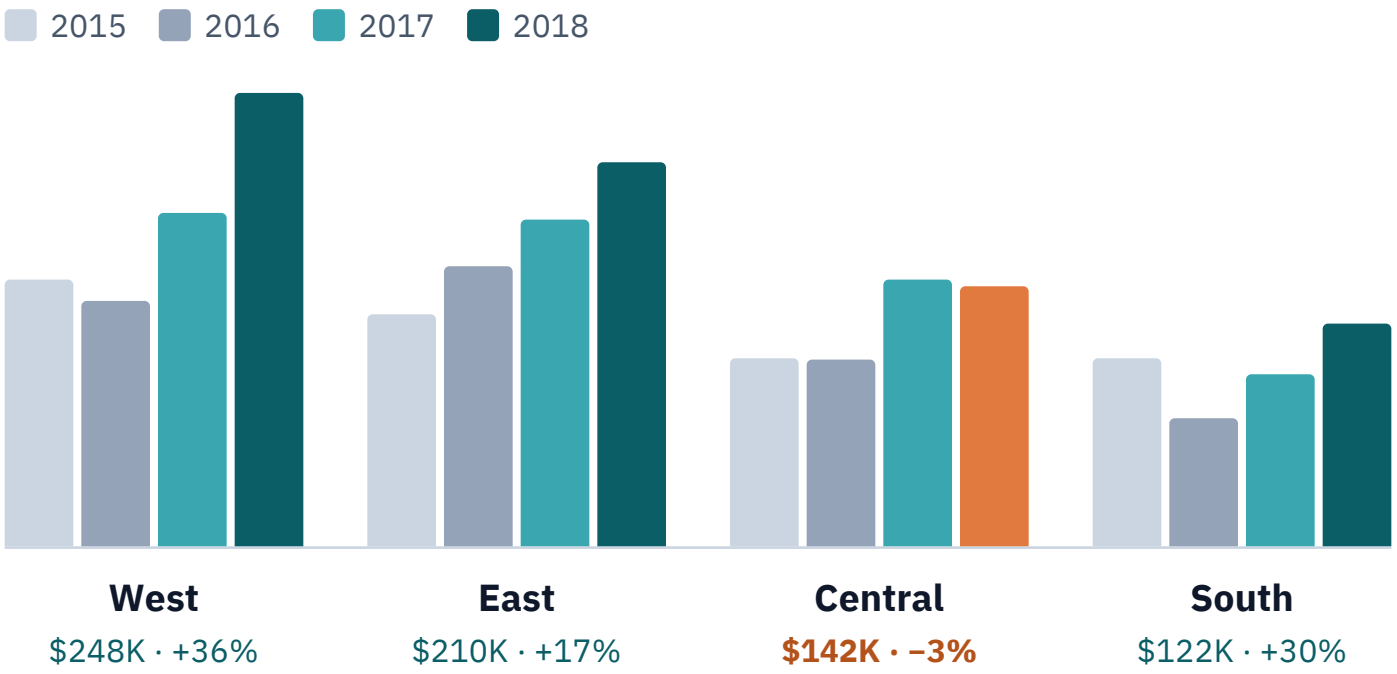
A sharp rebound: 2017 jumped 30.6% to $600K / the recovery year

Slowing expansion: 2018 added 20.3%, a third less pace / momentum is fading

Net result: +50.4% over four years / strong total, uneven path

REGIONAL IMBALANCE

Two regions carry the enterprise while Central contracted in 2018



Two engines: West + East = 61% of sales and 76% of the 4-year increase / growth is narrow

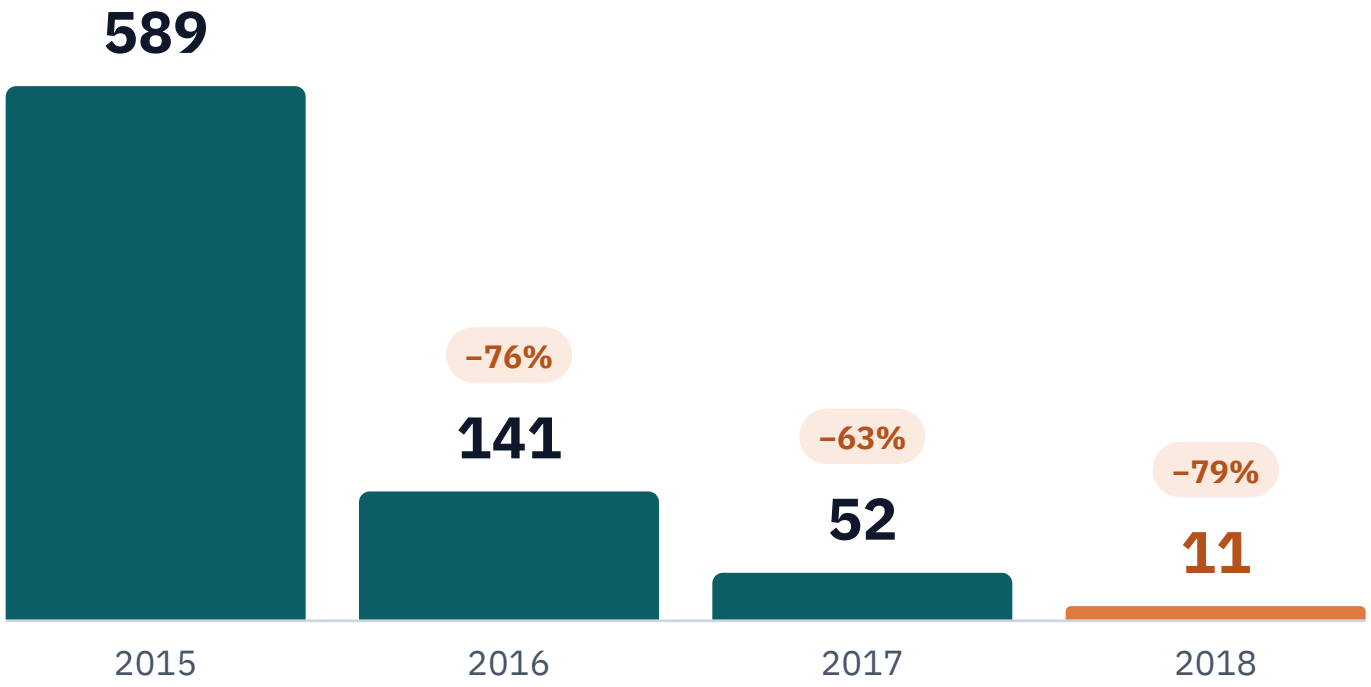
West leads: $248K in 2018, +36% / the playbook to copy

Central contracted: $146K → $142K in 2018 / the only shrinking region

South still smallest: fell 32% in 2016, $122K today / rebound off a low base

THE ACQUISITION CLIFF

New customer intake has evaporated: 589 new accounts fell to just 11



Intake collapse: 589 → 11 new accounts, −98% / no active acquisition engine

New-account revenue: 1% of 2018 sales, just $7.5K / growth is all existing accounts

Frequency, not basket size: orders per customer rose 1.6 → 2.4 while AOV fell $506 → $435 / same base, ordering more often

New accounts = customers in the year of their first order. 2015 is the first year of data, so it counts every active customer.

CONCENTRATION VULNERABILITY

A business dependent on a select few states, one city and 80 accounts

33%

Two states: California and New York / one third of revenue from two markets

11%

One city: New York City alone / a single metro is a single point of failure

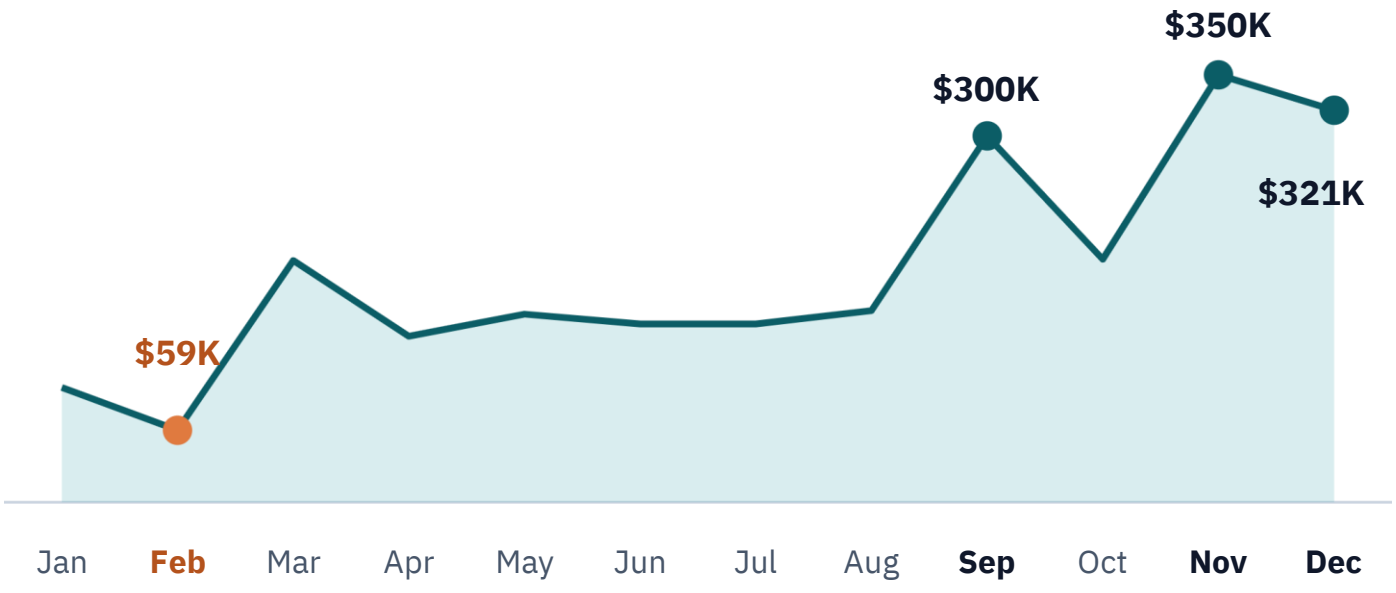
31%

80 accounts: the top 10% of 793 customers / a few relationships hold the base

Exposure: losing one metro or a handful of key accounts would erase growth, not just slow it / with almost no new customers, lost revenue is not replaced

SEASONAL WHIPLASH

Three months decide the year: Sep, Nov and Dec deliver 43% of sales



Sales by calendar month, all four years combined ($K)

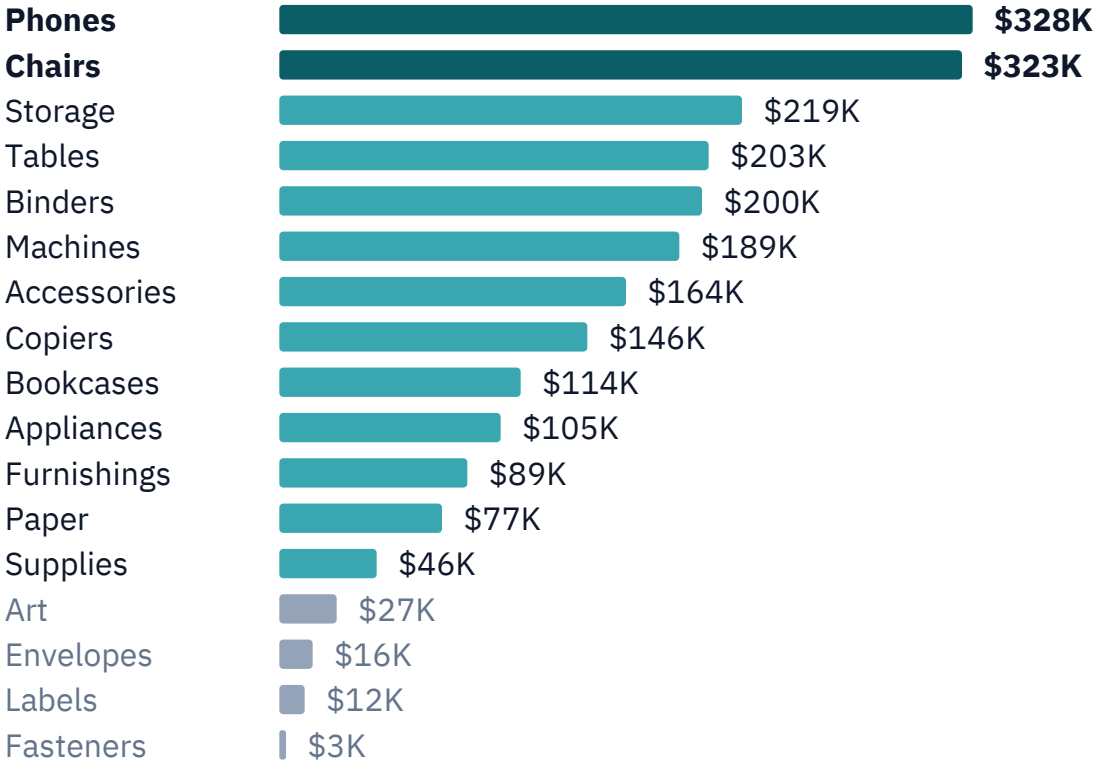
Peak dependence: Sep + Nov + Dec = 43% of sales / one season sets the year

February trough: $59K, one-sixth of November / the weakest month every cycle

Slow start: Jan–Apr bring only 21.5% of sales / cash and stock planning come under strain early

CATEGORY BALANCE VS SUB-CATEGORY POLARIZATION

Balanced categories hide a heavy reliance on two product lines



Balanced on top: Technology 37% ($827K), Furniture 32% ($728K), Office Supplies 31% ($705K) / no category dominates

Polarized below: Phones + Chairs = 29% of sales / two lines carry the mix

Long tail: Art, Envelopes, Labels, Fasteners <3% combined / candidates for bundling or review

ROOT-CAUSE SYNTHESIS

Revenue per customer is rising while the customer foundation shrinks

01

Customer pipeline depleted

589 → 11 new accounts; new accounts = 1% of 2018 sales

02

Territory & account fragility

33% from CA + NY, 31% from 80 accounts; Central shrinking

03

Operational seasonality

43% of sales in 3 months; February trough at $59K

THE SYNTHESIS

Growth comes from existing customers ordering more often (1.6 → 2.4 orders each). That can't continue forever, and nothing is replacing them.

STRATEGIC TURNAROUND

Three moves to rebuild the base before the momentum runs out

1

Institutionalize a customer acquisition engine

Diversify outreach channels and give account hunters new-logo targets

KPI: new accounts per quarter

2

Intervene in Central and South

Audit product mix and coverage gaps against the West and East playbooks

KPI: Central back to growth

3

Smooth Q1 revenue

Early-year promotions and B2B contract renewals timed for Jan–Feb

KPI: Jan–Apr share of sales

Sequencing: acquisition first, because it is the only lever that adds customers rather than extracting more from the same ones.

LIMITATIONS & NEXT ITERATION

We know where revenue comes from, not yet whether it is profitable

Current limitations

No profit or margin: cost, unit margin and discount fields are absent / growth can't be tied to the bottom line

No unit quantity: volume is measured in dollars only / price vs volume effects stay mixed

Data starts in 2015: earlier history is missing / the 2015 new-account count is overstated

Next-phase analytics

Margin cross-check: join the full Superstore extract / test if Phones and Chairs also lead on profit

Cohort LTV model: lifetime value by first-order year / size the cost of the pipeline gap

Acquisition telemetry: live new-account tracking on the dashboard / early warning, not hindsight

EXECUTIVE Q&A · DISCUSSION

Headline growth answered

“What happened.”

Acquisition and concentration revealed

“What will happen if we do not act.”

Thank you. Questions?